

Carlill

VS

Carbolic

Smoke Ball

CASE STUDY PRESENTED BY:

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Carlill v Carbolic Smoke Ball

INTRODUCTION:

Carbolic smoke ball company published an advertisement that Ad about smoke ball (medicine) for influenza(virus). The company provide some rules to follow with the medicine. These medicine for affected people by influenza. If these smoke ball didn't cure the virus the company offer 100 pounds for the customer. Carlill buy the smoke ball but she didn't cure. she ask 100 pound from the company. But the company refuse to pay. Finally she claim the compliant in the court of UK. The court make this case more important.

FACTS OF THE CASE:

In UK 1892, a company called carbolic smoke ball that company advertised about a medicine (smoke ball). The medicine will cure the Influenza virus.

On that time virus was spread all over the country. During these time the company think to promote the product.

So they advertise about the product in the newspaper. And they set some rules with the medicine. One who the rules will not get the influenza virus.

if anyone who affected from cold, cough or virus after intake of the pill the company will provide 100 pounds as a reward. The company said that already Deposit 1000 pound in the bank.

By seeing these advertisement Mrs, Carlill buy the medicine and intake it. And she was follow the rules has the company said. But she got the fever so she ask the company to pay the reward. but the company refuse it

So she took the case to the court. The court solve the case favour of Mrs Carlill.

These are the facts of the case of Carlill vs carbolic smoke ball. Finally Carlill won the case because she follows the rules from the smoke ball company and also she had the proof.

LEGAL ISSUES:

The court considered the following legal issues:

Was the advertisement a valid offer to the public?

Did Mrs. Carlill accept the offer by using the smoke ball?

Was there a legally binding contract between Mrs. Carlill and the company?

Was the company required to pay the promised reward?

These questions were important because they helped the court decide whether a contract had been created.

JUDGMENT:

The Court gave its decision in favour of Mrs. Carlill.

The judges stated that the advertisement was not just a simple advertisement. It contained a clear promise to pay £100 to anyone who used the smoke ball correctly and still became ill.

The court also noted that the company had deposited £1,000 in a bank. This showed that the company seriously intended to keep its promise.

Mrs. Carlill accepted the offer by performing the action, which was using the smoke ball according to the instructions.

Therefore, a valid contract existed between Mrs. Carlill and the company. The court ordered the company to pay £100 to Mrs. Carlill.

LEGAL PRINCIPLES:

This case established several important principles of contract law.

1. Unilateral Contract

A unilateral contract is a contract in which one party makes a promise that can be accepted by performing a specific act.

2. Offer to the Public

An advertisement can become a valid offer if it contains clear terms and a definite promise.

3. Acceptance by Conduct

A person can accept an offer by performing the required action. Direct communication of acceptance is not always necessary.

4. Intention to Create Legal Relations

When a company shows serious intention, such as depositing money, it demonstrates that it intends to be legally bound by its promise.

BUSINESS RELEVANCE:

This case is very important in business and marketing.

Companies use advertisements to attract customers. Businesses must be careful when making promises in advertisements because customers may rely on those promises.

The case teaches businesses to:

Give accurate information in advertisements.

Avoid misleading claims.

Honor promises made to customers.

Build trust and credibility in the market.

The case also protects consumers by ensuring that companies cannot escape responsibility after making clear promises.

CONCLUSION:

Carlill v Carbolic Smoke Ball Co. is a landmark case in contract law. It clarified the concepts of offer, acceptance, and unilateral contracts.

The court decided that the company had made a genuine offer and that Mrs. Carlill accepted it by using the smoke ball as instructed.

It continues to guide courts, businesses, and consumers in matters relating to contracts and advertisements.